

ORION ENERGY SYSTEMS INC OESX S

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by

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2026 2027

Price:	24.30	EPS	0	0
Shares Out. (in M):	4	P/E	0	0
Market Cap (in \$M):	100	P/FCF	0	0
Net Debt (in \$M):	1	EBIT	0	0
TEV (in \$M):	101	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

Investment Thesis

Orion Energy Systems (OESX) stock has increased 135% since reporting Q1 2027 earnings on August 5, which was marginally better than consensus (ex-tariff refund), but buoyed by an AI data center narrative that management itself concedes will contribute very little to FY27. **This narrative was first introduced on June 8, to no fanfare.**

Regurgitating the news during the earnings release seemed to drive a significant and non-sensical re-rating in the stock. This is a sub-scale, undifferentiated lighting contractor with no recurring revenue outside a single customer's maintenance agreement, ~38% customer concentration, and more than half of its guided fiscal year still unbooked. We think the stock is worth \$13, or roughly 45% downside from current levels (\$23).

Segment Overview

Orion designs, manufactures, sells, installs, and maintains LED lighting systems and electric infrastructure for commercial, industrial, retail, and public sector customers in North America. Headquarters and domestic manufacturing are in Manitowoc, Wisconsin. The company has a March fiscal year end and reported FY26 revenue of \$86mm. Three reported segments:

1. Lighting (~60-70% of revenue) sells LED fixtures and controls alongside turnkey construction and engineering services. Product moves direct to national accounts, through distributors, and through ESCOs (energy service companies that buy product and self-install). Domestic manufacturing is the differentiator management leans on, particularly for government work. Orion subcontracts the physical retrofit labor to a national network of third-party installers and manages the installation on the customer's behalf. This is project revenue with no contractual recurrence.
2. Maintenance (~15-20% of revenue) is lighting and electrical preventative maintenance and break-fix. This is the only genuinely recurring line in the business, and it is effectively one contract: a \$42-45mm three-year renewal signed with Home Depot in October 2025 for roughly \$14-15mm per year across FY27-FY29. Management has been explicit that there is no attach-rate flywheel; there is no correlation between installing for a customer and winning that customer's maintenance work.
3. EV Charging (~15-20% of revenue) is the Voltrek division acquired in 2022. Orion does site design, installation, and commissioning around third-party hardware (ChargePoint, ABB, Alpitronic), with 8,000+ charging points under management. The company is flagging uncertainty on near-term scope, pace, and funding availability in this segment as federal incentives roll back.

Brief Company History

Orion went public in December 2007 at a \$330mm valuation with the stock price having lost 85% of its value since then. The company has spent the last decade cycling through restructurings, cost takeouts, and channel strategies without ever establishing durable profitability. It carries a full valuation allowance against its deferred tax assets because it has not sustainably generated profits.

The commercial franchise is Home Depot, won away from Acuity roughly eight years ago on a customized product spec. Orion bid approximately 1,800 stores in 2018 in a program worth roughly \$250mm over three years. The company's profitability has fluctuated primarily with the timing of Home Depot work.

Sally Washlow, then a sitting director, was elevated to CEO in April 2025 with no external search conducted. Per Brodin, the CFO, has been in the seat since November 2020. More recently, the company executed a 1-for-10 reverse stock split in August 2025, reducing shares outstanding from 35.2mm to 3.5mm. In January 2026, the company raised \$7mm in an equity offering to a small group of investors to pay down their revolver and fund working capital. Subsequently in March 2026, Orion settled a long-running Voltrek earnout arbitration for \$3mm in cash.

Why Does the Opportunity Exist

Two things happened this summer that took the stock from ~\$8.70 in June to a peak of \$27.00 in late August.

1. The 1Q27 print (August 5, 2026) was optically very strong. Revenue of \$25.7mm was +32% y/y and a 9% beat on consensus. Gross margin expanded 450 bps to 34.6% and AEBITDA of \$2.5mm (9.7% margin) beat consensus by \$600k. The stock rose 54% on the day.
Excluding \$334k of IEEPA tariff refunds, GM was ~33.3% and AEBITDA was \$2.2mm (8.6%) for a ~\$300k beat. Additionally, roughly \$6.2mm of the quarter was the Home Depot exterior lighting program, a discrete \$14-15mm project that started in January 2026 and completed at the end of July 2026 (one month into 2Q27). Management sized the 2Q27 remainder of this project at LSD million. Notably, the FY27 guide was reiterated rather than raised after the beat.
2. On June 8, the company announced its inaugural data center customer described as a multimillion-dollar engagement at a single location with a hyperscaler. On the 1Q27 call (August 5th), management described co-developing the solution with the customer and early-innings conversations with other prospects. The market has capitalized this as a platform; we see a product with one confirmed building behind it.

Investment Point #1: The Data Center Revenue is a FY28 Story That the Stock Has Already Paid For, And Then Some

Data center revenue is not expected to contribute meaningfully in FY27 and there is no data center product reflected in backlog at 6/30/26. Only "small amounts" of product revenue got booked in 1Q27, and the ramp is expected to come late in FY27 at the earliest, with the likely outcome that it doesn't start ramping until FY28. Lighting is installed at the tail end of a data center project, and there is a long lead-time between orders and installation. We view the timing of these orders as more likely to slip than be pulled forward.

The economics and opportunity are also worse than the narrative implies:

- Product only. No installation, no service, and no maintenance attach. Management has said nothing is on the radar in terms of installation work at data centers.

- Sold through a distribution partner. Management has characterized this channel as carrying lower margin, likely to come in “around the 30% range.”
- Wins are building-by-building that top out at \$5-7mm in revenue per building. Orion is explicitly not the exclusive supplier on the campus and has said they were brought in because hyperscalers do not want single-source exposure. Being the second or third qualified vendor on a campus is not a franchise.
- New build only. The installed base is too new for a replacement cycle, so there is no recurring tail behind the initial fit-out. Orion also enters late in the construction sequence, which maximizes slippage risk.

At \$5mm per building and ~30% gross margin, each win contributes \$1.5mm of gross profit on a ~\$27mm annual opex base. It will take winning several buildings to change the earnings power of the company in a way that justifies the \$60mm of equity value that has recently been added.

Investment Point #2: The Multiple Prices a Recurring Revenue Base That Does Not Exist and FY27 Estimates are Too High

More than half of the guided year is still unbooked. The FY27 guide is \$95-97mm and 1Q27 delivered \$25.7mm, leaving \$69-71mm to find in nine months. The FY27 build:

- Maintenance of ~\$15-16mm per year, of which \$4.1mm was recognized in 1Q27, leaving ~12mm of revenue remaining not in backlog.
- Backlog of \$23.7mm, of which we assume 75-80% converts in the remaining 9 months of FY27 implies ~\$19mm of backlog converting in FY27 from here.
- That is ~\$31mm contracted vs. \$38-40mm that is unbooked and must be won.
- Management has said they have line of sight on \$15-20mm of “repeat” work they expect but have not booked, implying \$18-25mm of pure book-and-burn work they have to go out and win for the next 9 months to hit guidance.

All of this on an order book that is moving the wrong way. Backlog fell from \$30.1mm at 3/31/26 to \$23.7mm at 6/30/26 with a 0.7x book to bill in 1Q27. This implies gross bookings were ~\$15mm in 1Q27, one of the weakest quarters in the last four years, compared with a guide that requires bookings improvement.

Home Depot was ~38% of the overall business and the anchor project just ended. In 1Q27, Home Depot was roughly \$10mm of \$25.7mm of overall revenue. Approximately \$6mm of that revenue is related to the exterior project and ~\$4mm of that is maintenance; the exterior project finished at the end of July.

Notwithstanding risk to the revenue guide, the company’s own expense commentary for this year (30-32% GM, ~\$27mm annual opex) implies a \$5mm FY27 AEBITDA figure vs. the \$7mm consensus. Our work suggests the company misses those consensus AEBITDA numbers this year.

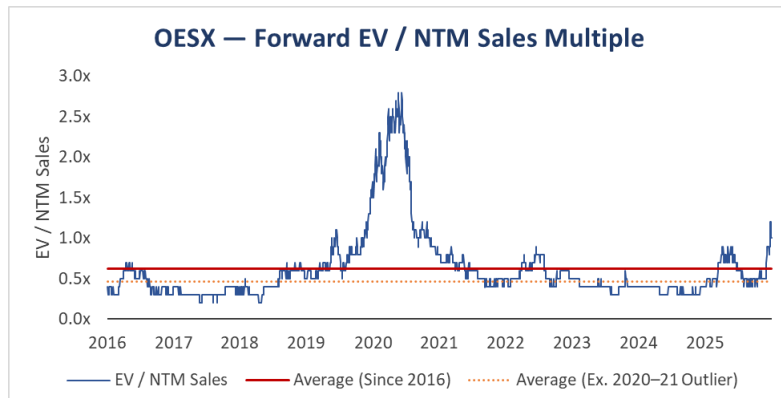
OESX generated negative \$1.1mm of operating cash flow in FY26 on an improved P&L because growth consumes working capital. We believe the company could issue equity again to support these new data center orders if they do land; OESX raised \$7m in an equity offering in January 2026 at \$14 to support working capital for their recent \$14-15m HD exterior project.

None of this supports a premium multiple. Orion competes in a fragmented market against local electrical contractors and larger integrators with no evident pricing power. Consensus has Orion achieving \$7mm of AEBITDA in FY27 (15x TEV/FY27 AEBITDA multiple) and \$11mm of AEBITDA in FY28 (10x TEV/FY28 AEBITDA multiple). We view these multiples as outlandish for a company of this quality on AEBITDA figures that are too high.

Valuation

We believe an underwhelming remaining 9 months of FY27, and ultimately missing consensus AEBITDA estimates this year, will be the catalyst that brings valuation back to more reasonable levels. We underwrite our price target to FY28 figures because the over-extrapolated future is clearly what the market is paying for. As a baseline, we start from the FY27 guided range of \$95-97mm and strip out the ~\$9mm of completed HD exterior project revenue recognized in FY27, leaving an \$86-88mm core. We then make assumptions on landing another Home Depot project in FY28 (sized at \$20mm total, \$10mm landing in FY28) and data center penetration.

In the last 10 years, Orion has only generated consistent AEBITDA profitability from 2020-2022, supported by a \$250mm multi-year contract from Home Depot. We focus on the historical forward revenue multiple, which has averaged 0.6x since IPO and 0.5x excluding an outlier period in 2020-2021 as the Home Depot project ramped. We view the latter as the relevant through-the-cycle multiple.



Valuation on FY28 Estimated Numbers	Base Case
FY27 Revenue (Guided Range)	96
Less: HD exterior program in FY27	(9)
Continuing Core / Baseline for FY28	87
Core FY28 Growth (% est)	0%
Adjusted FY28 Core Revenue Baseline (A)	87
HD Interior Program Revenue (est) (B)	10
Data Center Buildings in FY28 (Y)	2
Data Center Revenue per Building (Z)	5
FY28 Data Center Revenue (Y x Z) = (C)	10
FY28 Revenue (A) + (B) + (C)	107
Multiple on FY28 Revenue	0.5x
FY28 TEV	54
Net Debt (6/30/26)	1
FY28 Equity Value	52
Shares Outstanding (mm)	4
OESX Per Share Illustrative Value	\$ 12.75
Upside/Downside on \$25 Share Price	-45%

Our base case assumes Orion wins a second building on the hyperscaler campus, and we give them half of a \$20mm potential Home Depot Interior Project landing in FY28. We estimate \$107mm of revenues and \$8mm of AEBITDA. At 0.5x FY28 Revenue (7x FY28 AEBITDA), we arrive at a \$13 stock price, implying 45% downside from today's price. This case credits the company with growth that appears likely but still must be won.

Our downside case (positive to thesis) takes the low end of FY27 revenue guidance and assumes the core revenue base declines by 5%. OESX has suffered double-digit revenue declines in four of the last ten fiscal years, and we view this assumption as a conservative downside case. We do not give them the HD interior project and assume the one data center building they have announced is the only one they get. This nets out at \$87mm of revenue and \$2mm of AEBITDA, mirroring the results from the most recent fiscal year (FY26). Applying the ex-outlier historical forward revenue multiple (0.5x) yields a \$10.00 share price (55% downside).

Our upside case (negative to thesis) assumes core growth of +5%, the full \$20mm of HD Interior Program landing in FY28, and four data center buildings captured at \$5mm per building. We assume the current 1.0x forward revenue multiple holds, which gets us a \$32.00 share price, +40% upside from current levels.

Risks to Short

Further Data Center Awards. This is the largest risk to the short thesis. Management expects to win additional buildings with their existing hyperscaler and says it can support the customer's other campuses; each building can fetch up to \$5-7mm (we use \$5mm as our average per building), which is ~5% of annual revenue on a single PO. Our base case gives them two buildings in FY28, and the upside case has four. We view the gap as what will determine whether the elevated revenue multiple the company trades at today will stick or regress. Further hyperscaler building announcements would validate the exact platform framing we argue against.

The Home Depot Interior Award. Management has described a potential interior relighting program at Home Depot worth \$20mm, spread over an indeterminate contract life. It is not in the FY27 guide, and we give only half credit for this project in our base case, but this project landing would be pure upside and paper over the roll-off of the Home Depot Exterior Project. We think the odds of this project landing have gotten worse: the project has slipped from the original May-July 2026 award window, management stopped using "sole bidder" language around the award, and the potential project size has slipped from \$25mm to \$20mm. Typical lag from signature to P&L flow-through is three months, so a Q3/Q4 award would mostly fall into FY28 numbers. Notwithstanding, an award of this magnitude would be a press release event that could push the stock even higher.

Micro-Cap Mechanics and Squeeze Risk. There are approximately 4.1mm shares outstanding with ~17% insider ownership on roughly 69k shares of average daily volume (~\$1.7mm a day). The stock has run from \$6.79 to \$27.37 inside twelve months and moved 54% on a single earnings day. Mark to market pain can be severe independent of the fundamental call. Management has a track record of press-releasing products with zero commercial substance and re-announcing contracts they already hold. Most recently, a \$20k purchase from insider Heather Wishart-Smith moved the stock ~20% on August 25th.

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Catalyst

negative earnings revisions

potential equity raise

Messages

Subject	Owned it and sold and agree
Entry	09/04/2026 02:46 PM
Member	everyonehatespoetry

I owned it and sold it post quarter. I think you're right.

I met management post Q and honestly it didn't sound amazing. It was good but they highlighted "lumpiness" a couple times which makes me think next Q might not be great, and also emphasized that gross margins should normalize to the low 30s and that 33-34% is not sustainable. Kind of labeled the current quarter as an "everything going right" quarter.

The DC opportunity is meaningful tho, each building is \$1M+ of content with 20 buildings per campus with a big advantage being a US based player for faster delivery.